Modern Leadership in the Era of AI and Automation

Topic of *Modern Leadership in the Era of AI and Automation* is not a "future" conversation, it's a now conversation. AI and automation are already changing the way we lead, the way we manage teams, and the way we deliver results. The leaders who adapt — and adapt fast — will not just survive, they will thrive.

The world is changing rapidly. Artificial Intelligence, automation, and cloud transformation are not just buzzwords anymore—they're reshaping the way we lead teams, manage operations, and define success. I will walk you through the key principles of modern leadership in this era and explore how you can apply them in your day to day.

1. Changes in the Business World Driven by Automation, AI, and Cloud Transformation

We're in the middle of the 4th industrial revolution. AI, cloud, and automation are transforming the way we deliver services; analyze data; collaborate globally and make decisions, but one thing hasn't changed: the need for human leadership.

From my experience, the need for global collaboration has changed how we structure teams, but the need for strong team leadership has increased. The team members are spread across world, my direct reports are in Poland and Portugal. They co-work with their colleagues from Philippines and India, therefore they need someone to encourage them to find the best way to collaborate. Emotional intelligence, and purpose-driven management is more important than ever.

This leads us to our central question:

How do we lead effectively when machines take over tasks, but humans are still responsible for results?

What we need to take into consideration is:

- **Shift from manual to augmented decision-making:**
  AI now handles a lot of the "heavy lifting" of data processing, scheduling, and forecasting. that leaders used to do manually. We now have AI suggesting optimal schedules, predicting customer needs, and identifying risks before they happen. Leaders need to focus less on "doing" and more on "interpreting and guiding". AI-based workforce tools (Microsoft Copilot for Teams or ServiceNow scheduling) can automatically assign shifts, plan maintenance windows, or align meeting times based on everyone's availability and workload. AI in operations or finance can flag potential system failures, compliance issues, or financial anomalies before they become real problems. Because these tasks are now automated, the leader's role shifts from personally crunching numbers or building schedules to:

  1. Interpreting AI's recommendations – understanding why the AI suggested something and whether it aligns with business priorities.
  2. Guiding the team – deciding which actions to take, explaining the reasoning, and ensuring people execute effectively.

  So, in short — less manual administration, more strategic judgment and direction.

- **Impact on leadership styles:**
  Transactional leadership is losing ground. Modern leaders need to be *transformational* — focusing on vision, adaptability, and people.

Example: In cloud operations, automated scaling removes the need for manual infrastructure planning. Leaders must now guide teams in optimizing *how* that automation is used, not just whether it exists.

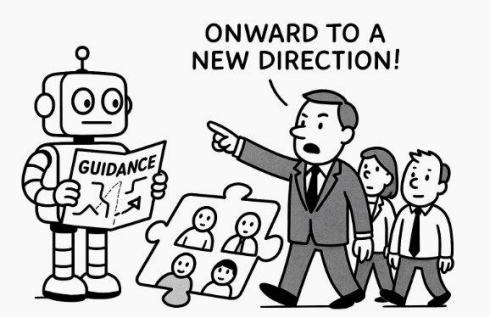
In the past cloud engineers manually monitored workloads and scaled resources based on spikes they observed. Now, AI platforms like Azure Advisor or AWS Compute Optimizer automatically recommend scaling up/down, changing storage tiers, or migrating workloads for cost efficiency.

Leaders should evaluate the AI's cost and benefits, align it with budget priorities, and decide which recommendations fit strategic goals. They should communicate these decisions clearly to technical teams and stakeholders, ensuring changes support both efficiency and service quality.

Example: In the past, fraud analysts manually reviewed suspicious transactions flagged by basic rule-based systems (e.g., transactions above a certain amount). Currently AI models analyze millions of transactions in real time, detecting subtle patterns that indicate fraud — even if they don't fit the old rules.

Instead of investigating every case, leaders should prioritize resources for high-risk alerts, interpret the AI's confidence score, and decide on customer communication strategies.

Practical takeaway: Schedule a quarterly "technology impact review" with your leadership team to identify where automation and AI are already changing workflows — and where you might be missing opportunities. It should be a brief recap of last quarter's findings and actions: what has been automated this quarter, key results achieved (time saved, error reduction, cost saving), challenges faced (tool adoption, skill gaps, integration issues). Review which processes are still heavily manual and could benefit from automation and where the bottlenecks are slowing the delivery.



2. Personality Types (Including How AI Can Help Identify Them)

I love the topic of personality types and I do believe the awareness of existence of 4 different personality types and their mixes, helps us manage effectively, amend our communication style and task delegation. Here, I will focus more on AI usage in this subject.

Leaders who understand their people's working styles can assign roles that boost engagement and productivity. AI tools can analyze collaboration data, meeting participation, and project patterns to identify traits — introversion vs extroversion, analytical vs creative thinking. They go beyond traditional personality tests by combining psychology-based questionnaires with AI analysis of real-world data from sources like:

- Emails, chat interactions (tone, sentiment, response patterns).
- Project management tools (task preferences, completion style).
- Meeting participation (speaking time, engagement level).

- Work output (creativity, detail orientation, problem-solving style).

Some examples:

Humantic AI – Integrates with LinkedIn, CRM, and email to analyze personality types for better collaboration and client interactions.

Crystal Knows – Uses AI to predict DISC personality profiles from public data and suggests communication tips.

Gallup CliftonStrengths + AI integration – Core strengths assessment with AI analytics on role fit and team dynamics.

Microsoft Viva Insights (with AI analytics) – Evaluates collaboration patterns and work habits, identifying introverts/extroverts, focus time needs, etc.

Example: An AI tool may detect that one engineer rarely speaks up in group meetings but contributes extensively in written form — suggesting they thrive in asynchronous collaboration.

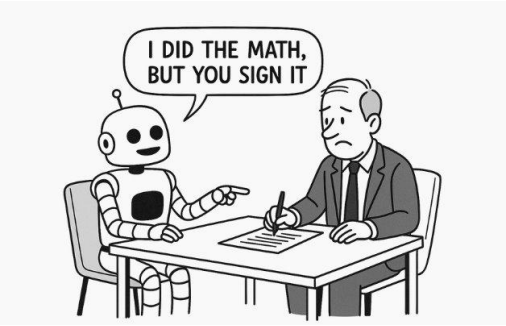
Practical takeaway: Use AI-powered personality and strengths assessments (e.g., CliftonStrengths + AI analytics from collaboration tools) to build role alignment maps for your team. AI-powered personality and strengths assessments are digital tools that use artificial intelligence to analyze behavioral, communication, and work-pattern data to identify a person's traits, strengths, and preferred ways of working.

3. Responsibility for Tasks (Leader Remains Accountable)

There is one key truth here.... Automation doesn't replace accountability. If an AI-driven process fails, clients still look to the leader — not the algorithm. And there is a risk that leaders may feel tempted to say "the system decided". That erodes trust.

Example: Imagine a bank using AI to approve or decline loans. A customer's application is rejected because the AI's risk model flagged them. If the client asks *"Why?"*, the leader can't shrug and say, *"That's just what the system says"*. They must translate the AI's reasoning into clear, human terms — for example, *"The decision was based on your repayment history and current debt ratio. Here's what would need to change for approval."*

Practical takeaway: Implement "explainability protocols" — if automation drives a decision, ensure your leaders can communicate the *why* clearly to clients and stakeholders. The leader needs to acknowledge and own the decision ("This decision is our responsibility, and I want to walk you through how it was made."; "Let me explain the reasoning behind the outcome, and how we can move forward."), translate AI Logic into human terms: what AI looked at, why those factors matter, how they led to the decision; and offer a path forward: turn a potentially negative outcome into a constructive conversation ("Here's what would need to change for a different outcome...", "Let's look at alternative options that could meet your needs.", "We can review this again in 3 months if these conditions improve."). What can also help is to always start with empathy ("I understand this may be disappointing..."), avoid blaming the system — instead, position AI as a tool you control and keep a quick-reference sheet with the top 5–10 most common AI decision factors in your area so you're never caught off guard.



4. Striving for Improvement (Data-Based Feedback)

Modern leadership is about continuous improvement. We can track teams' performance in real-time; use AI to detect underperformance early; recommend training paths or interventions. AI can spot inefficiencies, skill gaps, and bottlenecks faster than humans.

Example: An AI system in an IT service desk could highlight that 30% of incidents are repeat issues due to missing knowledge base articles — guiding leaders to fix the root cause. It can also show patterns on what tickets are chosen by the team members, e.g. someone has done 300% more tickets but all of them were single click alerts, whereas another team member was taking complex tickets.

Practical takeaway: Create a monthly "AI Insights Review" where the team discusses data-driven findings and agrees on 1–2 improvement actions to implement immediately. It could cover trends in repeat incidents, SLA breaches and their common causes, skill gaps identified from ticket escalation patterns, patterns in customer sentiment from feedback analysis. For each insight try to find why this happened, if it was process, tools or skills related, how we can fix it.

5. Belief in the Defined Goal (AI Won't Build the Vision)

In the era of AI and automation, technology can execute the "how" faster than ever before, but it can never replace the leader's role in defining the "why." AI can optimize processes, predict outcomes, and assign work — but it cannot create a sense of purpose that unites people behind a mission.

Without a clear vision, teams risk becoming a group of task completers instead of a purpose-driven unit. AI can automate the work, but it cannot inspire commitment, loyalty, or discretionary effort — those come from people believing in something bigger than the checklist in front of them. The leader's vision provides the narrative that makes individual tasks meaningful and connects them to a larger purpose.

We need to understand that AI is a tool, not a leader. The *vision* — the "why" — still comes from people. If we forget about that and rely too much on process automation without inspiring purpose, the teams can feel disconnected.

Example: An AI might optimize project timelines, but it can't rally a team around a shared mission like "becoming the most customer-centric bank in Europe." Imagine a project team in a global bank tasked with implementing a new digital payments platform. The AI project tool can automatically prioritize tasks, assign the most skilled engineer, and optimize the launch schedule. But that same AI will never say: *"This project is going to change how our customers experience banking — making payments instant, frictionless, and secure. We're not just shipping features; we're changing lives."* That's the leader's job. Without that narrative, the project becomes just another ticket queue.

Practical takeaway: Revisit your team's "north star" every quarter — communicate it in ways that connect emotionally, not just operationally. Mention it in town halls, one-on-ones, retrospectives, and even in casual updates. When assigning work, explain how it advances the mission. Don't just say "we closed 50 incidents"; say "we restored 50 customers' ability to do business without disruption."

AI can show your team where to go and even get them there faster — but without your leadership, they won't know why they're making the journey.

6. Performance Control (Data-Driven Leadership)

In modern leadership, gut feeling is no longer enough. AI now gives us real-time dashboards, predictive analytics, and trend alerts — but the leader's role is not to drown in numbers. It's to interpret them, act decisively, and own the results. The leaders own everything in their world. That includes the data.

- If a KPI is off track, it's not the AI's fault, not the team's fault, not "circumstances." It's the leader's responsibility to identify the cause and drive a solution.
- Data is a tool, not an excuse. AI can reveal the truth, but you own the outcome.

Without data: Leaders may overestimate performance, ignore early warning signs, or rely on biased impressions.

With too much data: Leaders can get paralyzed, focusing on everything and nothing at once.

With the right data: Leaders can focus on what truly matters, adjust quickly, and measure the impact of every decision.

AI dashboards now give real-time performance metrics, making subjective evaluations less necessary, but too much data without context can overwhelm leaders.

Example: Cloud service uptime dashboards → leader needs to interpret trends, not just monitor numbers. A cloud services team sees uptime drop from 99.98% to 99.94% over three weeks. The AI dashboard shows the drop is linked to increased load on one region. A weak leader says, "Well, the AI flagged it — the engineers are on it." A good leader says, "This is my responsibility. I'll work with the engineers to redistribute load, communicate with affected clients, and ensure we're back at 99.98% within two weeks. Here's the plan."

Practical takeaway: Establish 3–5 "North Star Metrics" per team, and review them weekly with AI-driven insights to guide adjustments. Each team should have 3–5 metrics that define success in their role (e.g., SLA compliance, mean time to resolution, customer satisfaction score, backlog size, automation adoption rate). Once the metrics are in place, review them weekly – Use AI dashboards to track them in real time, but set a fixed review rhythm where the team and leader discuss trends and blockers. Act immediately: when a metric dips, own it. Assign a clear action owner, timeline, and measurable fix. Last, tie metrics to mission and explain how each metric connects to the broader goal. ("This isn't just a number — this is our promise to the customer.")

AI can tell you what's happening, but it will never take ownership. That's on you. The data is the map, but you're still the one steering the ship.

7. Simplicity in Communication (AI Supports Transcripts, Summaries, Translations)

In a world where AI can instantly translate, summarize, and analyze sentiment, complexity is still the number one killer of momentum. If your message needs translation — by humans or AI — to be understood, it's a signal it should be simplified before it's sent.

Modern leaders know that simple, clear, and consistent communication travels faster, leaves less room for error, and inspires action. Simple, honest communication is more powerful than any algorithm. We work in global virtual teams where one unclear sentence can get ten different interpretations. Tools like auto-translation and transcription help, but if the original message is vague or overly technical, you'll just get a "perfectly translated" unclear message. When people know exactly what's expected, they execute faster and with more confidence.

In today's world meeting summarizers, live translation, and sentiment analysis can help leaders focus on clarity. Tools like Otter.ai, Fireflies, Microsoft Teams Copilot produce concise recaps with action items. Microsoft Teams, Zoom, and Google Meet can now auto-translate speech in real time, breaking language barriers instantly. AI can scan chat channels or feedback to gauge team morale and flag when a message is misunderstood or triggering negative sentiment.

Example: A Fujitsu–Commerzbank project team holds a critical cloud migration planning call with members in Germany, Poland, Spain, and India. The discussion is complex, technical, and fast-paced. AI produces an instant transcript, translates it into each participant's preferred language, and generates a two-paragraph summary with five clear action items. Result? Everyone leaves with the same understanding and next steps, regardless of language or timezone.

Practical takeaway: Implement an AI summarization tool for all recurring team meetings and train leaders to use summaries as action lists. Before sending an email or making an announcement, ask yourself: *"Could someone with zero context understand this in one read?"* Use summarization tools for all recurring team meetings to capture actions and decisions. Ensure summaries aren't just transcripts — they must end with: *What needs to be done, by whom, and by when*.

AI can make our words travel further and faster, but only we can make them worth repeating. Clarity is a leadership skill no algorithm can replace

8. Setting Priorities and Planning (Automation Assigns, Leader Decides)

AI and automation are fantastic at optimizing for speed and efficiency — but leadership is about optimizing for impact and growth. Automation can assign tasks based on skills, availability, and workload data in seconds. But it can't see the bigger picture: the strategic goals, the client relationships, and the future capabilities you want to build in your team.

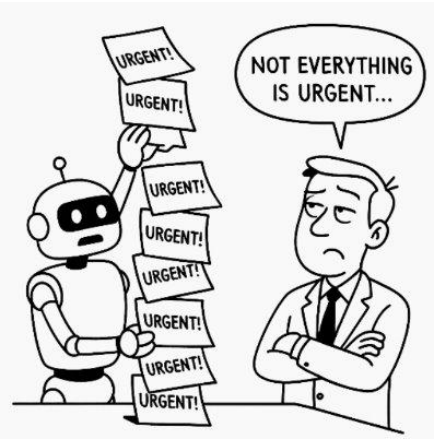
You can implement an AI-driven task assignment based on skills and availability. Automation thinks in "now", it chooses the fastest, most efficient route to completion. Leaders think in "now and later", they decide what's best for the current delivery *and* for the long-term capabilities of the team and organization.

It's leader's role to align assignments with strategic priorities, not just efficiency. If we blindly follow AI-generated assignments, we risk:

- Burning out our top performers by always giving them the hardest work.
- Neglecting skill development for less experienced team members.
- Missing opportunities to align tasks with strategic initiatives.

If we use it wisely, AI can balance assignments, so no one is overloaded. Systems can match tasks to people with the right certifications, experience, or past performance. AI sees task interconnections and prevents bottlenecks.

Example: AI may assign the quickest available engineer, but the leader may choose someone else to develop their skills. In an infrastructure migration project, the AI scheduling tool assigns the most urgent, high-complexity tickets to the senior engineer who has handled similar cases before.
The leader, however, overrides part of this plan — assigning some of those tickets to a mid-level engineer, pairing them with a mentor. Why? To grow internal capability for future projects, avoid over-reliance on one person, and build team resilience.



Practical takeaway: During weekly planning, review AI task assignments but validate them against long-term team development goals. First, let the automation propose the optimal allocation based on skills and workload. Then review if it aligns with our quarterly goals, if we develop the right people for the future. Feel free to move tasks if it helps develop someone's capabilities or strengthen client's relationship. When reassigning tasks, explain the reasoning so the team understands it's about strategic priorities, not favoritism.

9. Decision-Making (AI Helps with Risk Analysis)

AI is a powerful ally for decision-making — it can run simulations, predict outcomes, and surface risks in seconds.
But leadership is about owning the decision. AI can inform you, but it cannot replace your judgment, your accountability, or your responsibility for the outcome. AI can run simulations and predict outcomes, speeding up decision cycles, but a leader should own the decision. If a decision turns out wrong, it's not the AI's fault, the data's fault, or "the system's" fault. It's ours. We made the call. We own the result.

A leader should be aggressive in seeking data, but disciplined in interpreting it. Also, be open-minded to AI's recommendations, but skeptical enough to challenge them. The last thing, don't wait for "perfect" data. AI can speed up your decision cycle, but decisive leaders act when they have *enough* information and a clear plan.

Over-reliance on AI without human judgment can lead to blind spots. AI can reveal risks humans might miss — financial exposure, security vulnerabilities, performance bottlenecks, but AI has blind spots: It can't read the room in a client meeting, see political dynamics in your organization or value a relationship over a short-term metric.

Example: AI might recommend cutting a rarely-used service, but a leader knows it's critical to a strategic client. On paper, the numbers make sense, but you know that one of your most strategic clients relies on that feature for a mission-critical workflow.
Cutting it would jeopardize millions in future business. The AI sees the data. You see the battlefield. And as the leader, you decide to keep the feature — and explore cost optimizations instead.

Practical takeaway: Use AI-generated risk reports as *inputs*, not *verdicts*. Always apply human judgment before acting. Use AI to collect, clean, and model the risk landscape faster than humans can. Ask: *What's the data not showing me?* Consider strategic relationships, morale, timing, and long-term vision. Make the decision and communicate it as your own, not the system's. After execution, review what the AI predicted vs. what actually happened. Adjust your judgment framework for next time.

10. The Power of Discipline (Culture of Execution)

Discipline is the bridge between strategy and results.

In the AI era, leaders can have the most advanced analytics, automation, and predictive tools — but without disciplined execution, those tools are worthless. *"Discipline equals freedom."* In leadership, that means the freedom to innovate, adapt, and win comes from the consistent, disciplined actions that turn plans into outcomes.

Even the most advanced AI tools fail without disciplined execution. If your team doesn't enter accurate data, the AI produces garbage ("garbage in, garbage out"). Insights are useless if they're not acted on. When your team sees that every task, insight, or risk flagged by AI has an owner and gets closed, they trust the process — and you.

Consistently using tools, reviewing outputs, and holding people accountable for follow-through. If you tolerate sloppy updates, half-finished actions, or missed deadlines, that becomes the culture. Updating the AI dashboard daily, closing out action items, doing the weekly review — these aren't "admin tasks." They are the foundation of operational excellence. Train your team to self-police their execution so discipline doesn't depend on your constant oversight.

Example: A company may invest in AI-driven project tracking, but if updates aren't entered, the tool becomes useless. It's designed to flag delays, optimize workloads, and send reminders. For the first month, everyone uses it. But over time, updates get skipped. Statuses stay outdated. Tasks marked "in progress" never get closed. The AI still runs, but it's working on bad data — giving misleading reports. The tool didn't fail. The discipline failed.

Practical takeaway: Build a "culture of closing the loop" — every task, insight, or recommendation from AI must have a clear owner and deadline. Every AI-generated task, insight, or recommendation must have a named owner. If it's not time-bound, it's just a wish. Leaders and teams review AI outputs regularly to confirm progress and accuracy. Recognize when people close the loop. It reinforces the behavior you want to see. If the leader updates the system, follows deadlines, and closes loops, the team will too.

The era of AI and automation doesn't diminish leadership — it elevates it. Your value as a leader isn't just in knowing *what* to do, but in defining *why* it matters, guiding your people, and ensuring that technology serves strategy, not the other way around.

If we can master that balance — human vision with AI execution — then we're not just keeping up with change; we're shaping it.